Saving QuickBasket

A Technology Path to Profitability in 12 Months

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Case : *QuickBasket Leadership Case Study — 6-Month Runway*

Six months of cash runway remain.

FRAMING

The Two Levers That Are Actually Mine to Pull

With six months of runway, Technology's job is not to chase growth — it's to make unit economics positive. Two of the seven challenges on the table are mine to fix directly.

Rising Delivery & Warehouse Cost

Every order costs more to fulfil than it earns — the direct, controllable half of "losing money on almost every order."

Discount-Only Retention

Users who only return during campaigns are not loyal customers — they're rented attention, and rented attention doesn't survive a cash crunch.

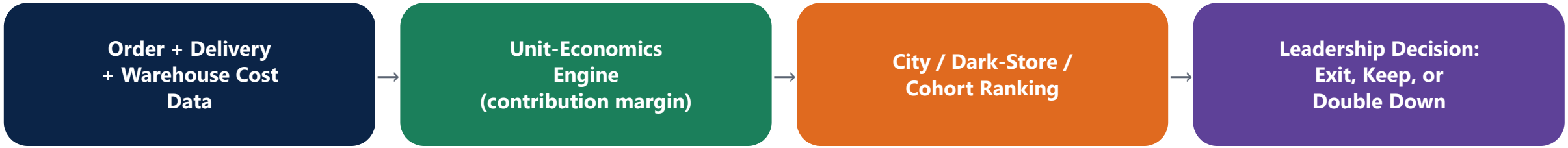
Working Assumptions

- ***No per-order profitability visibility today:*** *a 3-year-old, growth-built engineering org typically has usage and GMV dashboards, not contribution-margin dashboards.*
- ***Engineering capacity is fixed, not growing:*** *every initiative below competes for the same limited team — sequencing matters as much as the ideas themselves.*

FIRST MOVE

Before Cutting Anything, See Where the Money Is Actually Going

Exiting cities blind is how good markets get cut and bad ones get kept. Week one deliverable: a Unit-Economics Engine that turns "we're losing money" into "we're losing ₹X per order in these 4 cities, and making money in these 3."



Why This Comes First

- ***Resolves the internal disagreement*** *with data instead of opinions — leadership stops debating strategy in the abstract and starts deciding city by city.*
- ***Makes Option 2 executable, not just directional:*** *"exit unprofitable cities" is only safe advice once you know precisely which ones those are.*

Build Cost

This is a reporting layer over data QuickBasket already generates (orders, delivery logs, warehouse costs) — a small dedicated squad, roughly 2-3 weeks, not a new platform. It is the highest-leverage two weeks of engineering time available right now.

FIX #1

Cutting Delivery & Warehouse Cost Per Order

Retention fixes are worthless if every order is still underwater — cost per order has to fall in the cities QuickBasket keeps.

Four Levers, in Priority Order

- ***1. Delivery batching / route optimization:*** *fewer single-order rider trips — the single biggest lever on last-mile cost per order.*
- ***2. Demand forecasting per dark store:*** *right-size inventory to cut grocery spoilage/waste, a direct, avoidable cost unique to quick-commerce.*
- ***3. Dynamic rider allocation:*** *staff riders to the predicted demand curve, not a flat roster — cuts idle-time cost.*
- ***4. Packaging & last-mile cost tuning:*** *smaller, cheaper packaging tiers by basket size.*

Sequencing Logic

Route optimization and demand forecasting are prioritised first because they act on data the Unit-Economics Engine (Slide 3) already surfaces, and they pay back within weeks, not quarters. Rider allocation and packaging follow once the first two are live and their savings are visible in the same dashboard — proof compounds the case for further investment instead of asking leadership to trust the plan up front.

FIX #2

Replacing Discounts With Product-Led Retention

CAC is up 70% and blanket discounts are training users to wait for the next one — the fix is to make the product itself the reason they return.

Three Retention Levers

- ***Predictive reorder prompts:*** *"milk again?" — nudge restocking of habitual essentials before the user thinks to open a competitor's app.*
- ***Light loyalty / subscription tier:*** *small predictable recurring revenue and a habit loop, instead of one-off discount hunting.*
- ***Targeted, not blanket, promotions:*** *an ML model scores churn risk and spends discount budget only on users about to leave — same retention effect, a fraction of the cost.*

Customer Insight Behind This

College students and young professionals — QuickBasket's original core — value speed and habit, not the lowest price on a given order. A discount-trained user is actually a mispriced retention strategy: it's optimising for the customer who cares least about the product and most about the coupon, which is exactly the segment large competitors can outspend. Targeted retention wins back the segment that discounting alone can't hold.

STRATEGIC RECOMMENDATION

Reading the Four Options Through a Tech Lens

Option 1 — Double Down on Growth ***Rejected.***	*Tech cannot fix unit economics fast enough to fund a growth push on 6 months of runway.*
Option 2 — Focus on Profitability ***Primary recommendation.***	*This is exactly what the Unit-Economics Engine and cost fixes (Slides 3-4) are built to execute well.*
Option 3 — Pivot to B2B Logistics ***Feasible, but Phase 2.***	*Existing warehouse/delivery infra is reusable — but a net-new build now competes for the same engineering capacity Option 2 needs first.*
Option 4 — Hybrid Model ***The sequencing answer.***	*Execute Option 2 now; layer subscription/B2B revenue from month 4-6 onward by reusing infra, not building net-new.*

EXECUTION

What Engineering Ships, and When

Months 0-2 →	Months 2-4 →	Months 4-8 →	Months 8-12
• *Unit-Economics Engine live*	• *Dynamic rider allocation*	• *Loyalty / subscription tier*	• *Reuse infra to pilot B2B logistics*
• *City/cohort profitability ranking*	• *Packaging cost tuning*	• *Targeted churn-risk promotions*	• *In 1-2 stabilized cities only*
• *Route optimization + demand forecasting begin*	• *Predictive reorder prompts ship*	• *Cost-per-order trending down city by city*	• *Funded by savings, not new capital*

Every phase is funded by the previous one's savings — no new capital is assumed beyond the current runway.

ACCOUNTABILITY

What Technology Will Track Over the Next 12 Months

Contribution margin / order

Target: positive within 4 months in kept cities.

Cost per order (delivery + warehouse)

Must trend down monthly, city by city.

Repeat-order rate excluding discount periods

The real test of retention, not vanity DAUs.

Rider utilization %

Idle-time cost is a direct lever on margin.

Demand-forecast accuracy / spoilage %

Ties inventory tech directly to cash saved.

Engineering cost as % of revenue

Keeps tech investment itself inside the profitability story.

Technology's contribution to survival is simple to state: turn "losing money on almost every order" into a number leadership can see improve every week, and give the product a reason to be used that isn't a coupon. That is what buys QuickBasket its next 12 months.